

sands of crores, vis-à-vis an NIP (National Infrastructure Pipeline) investment which we know is significant,” says Guha, adding that many other countries have much higher credit guarantees. “It will make private investors more comfortable. The moment you have guarantees on loan repayments subject to specific clauses, the credit quality of projects goes up.”

The infrastructure build-up will need to be backed by world-class logistics infrastructure and processes. “Last year’s Budget for the transport and logistics sector was a defining moment because of the PM GatiShakti [National Master] Plan. The Budget had also proposed a unified logistics interface platform for data exchange among various operators via APIs to achieve regulatory and operational streamlining,” says Zaiba Sarang, Co-founder of iThink Logistics, an e-commerce shipping solutions company, while pointing out that the logistics sector accounts for approximately 14.4 per cent of India’s GDP, and is expected to have a market value of \$380 billion by 2025. “During the NLP (National Logistics Policy) launch, it was stated that the logistics sector costs approximately 14 per cent of India’s GDP, and that the goal of this initiative is to reduce the cost to a single digit. As a result, the Budget for this year will aim to reduce the cost of logistics by introducing new subsidies and other initiatives.”

While unveiling the NLP last September, PM Modi had mentioned that India’s logistics costs were double that of developed economies and they needed to be brought down. NLP’s four key platforms—Integration of Digital System (IDS), Unified Logistics Interface Platform (ULIP), Ease of Logistics (ELOG), and System Improvement Group (SIG)—would integrate data from seven minis-



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“The government understands that what agriculture is to the rural economy, real estate is to the urban economy”

Dhaval Ajmera
DIRECTOR, AJMERA
REALTY

tries to provide real-time information about cargo movement, and make it easy for logistics companies to connect with the government to resolve any challenges. “Infrastructure development for logistics across highways, warehouses, and ports should continue to be given high priority by the government in the Union Budget,” says Yogesh Patel, CFO of Mahindra Logistics. “The Budget should provide sufficient funding for several initiatives across the logistics ecosystem, as defined by the NLP.” And when earlier programmes such as PM GatiShakti, Sagarmala and Bharatmala policies are used in tandem with the NLP, the resultant efficiencies are expected to ultimately result in lowering the cost to GDP for the industry.

The other, related area of focus, especially considering India’s climate change commitments as well as long-term strategy to reduce oil imports, is to create greater momentum towards alternative modes of transport such as vehicles using ethanol-blended petrol and electric vehicles (EVs). “India’s 2070 net zero commitment means the role of ethanol in coming years is only set to grow. Given this, the price at which oil marketing companies buy ethanol (from sugar and grain companies) needs to be revised upwards to ensure the momentum of investment in this sector is not lost,” says Atul Chaturvedi, Executive Chairman of Shree Renuka Sugars. “Moreover, the 20 per cent blending target of ethanol by 2025 should be revised to 30 per cent by 2030. Sugar mills should also be allowed to open petrol/ethanol pumps near their premises.”

As for EVs, with significant rise in their sales and the upbeat commentary from both the government and the private sector on its future prospects, Budget 2023-24 is expected to bolster the subsi-